

Commercial Territorial Exact-Design Manufacturing License Agreement (CT-EDMLA)

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Executive Summary

This document defines a licensing framework that grants a partner the right to manufacture hardware using exact, unmodified designs while restricting distribution to a defined territory. It includes perpetual business continuity rights, firmware use-only rights, and an escrow mechanism to ensure operational independence if the licensor ceases support.

1. Definitions

- **Licensed Hardware** - The exact hardware design provided by the Licensor.
 - **Licensed Firmware** - Firmware binaries provided by the Licensor.
 - **Licensed Software** - Software binaries provided by the Licensor.
 - **Design Files** - Schematics, PCB Gerbers, BOM, enclosure CAD, and test procedures.
 - **Territory** - The exclusive geographic region assigned to the Partner.
 - **Manufacturing Rights** - Rights to produce Licensed Hardware.
 - **Continuity Event** - Bankruptcy, insolvency, cessation of business, or failure to support.
 - **Escrow Materials** - Design files and binaries held in escrow.
 - **Derivative Work** - Any modification or adaptation of hardware, firmware, or software.
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2. Grant of Rights

2.1 Manufacturing Rights

The Partner is granted the right to:

- Manufacture Licensed Hardware exactly as designed.
- Use Design Files solely for manufacturing.
- Assemble, test, and package Licensed Hardware.
- Perform repairs and replacements.

2.2 Distribution Rights

The Partner may:

- Sell and distribute Licensed Hardware only within the Territory.
- Provide after-sales service, maintenance, and support.

2.3 Firmware Use-Only Rights

The Partner may:

- Flash Licensed Firmware onto Licensed Hardware.
- Deploy firmware updates only when provided by the Licensor.
- Use firmware solely for operation of Licensed Hardware.

The Partner may not:

- Modify firmware.
- Reverse engineer firmware.
- Create derivative firmware.
- Patch or fix firmware bugs.

2.4 Software Use-Only Rights

The Partner may:

- Use Licensed Software as provided.
- Deploy updates only when provided by the Licensor.

The Partner may not:

- Modify software.
- Reverse engineer software.
- Create derivative software.

3. Restrictions

3.1 No Hardware Modifications

The Partner may not:

- Modify schematics.
- Modify PCB layout.
- Modify BOM.
- Modify enclosure.
- Create derivative hardware.

3.2 No Derivative Works

The Partner may not create derivative works of:

- Hardware.
- Firmware.
- Software.
- Documentation.

3.3 Territory Restriction

The Partner may not:

- Sell outside the Territory.
- Export hardware outside the Territory.
- Market or advertise outside the Territory.

3.4 No Sublicensing

The Partner may not:

- Grant rights to third parties.
- Outsource manufacturing without written approval.

3.5 No Competing Products

The Partner may not:

- Use Design Files to create competing products.
- Use firmware/software in unrelated products.

4. Intellectual Property Ownership

- The Licensor retains full ownership of all hardware designs.
- The Licensor retains full ownership of firmware and software.
- No transfer of IP occurs.
- The Partner receives only the rights explicitly granted.

5. Confidentiality

The Partner must:

- Keep all Design Files confidential.
- Protect firmware and software from disclosure.

- Limit access to authorized personnel only.
 - Use information solely for manufacturing and servicing.
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6. Quality Control & Compliance

The Partner must:

- Follow exact manufacturing instructions.
 - Use approved components from the BOM.
 - Follow test procedures.
 - Maintain quality records.
 - Allow the Licensor to audit manufacturing processes.
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7. Business Continuity Rights

7.1 Perpetual Rights After Termination

If the agreement ends for any reason, the Partner retains the right to:

- Manufacture Licensed Hardware.
- Use Licensed Firmware.
- Service customers.

These rights continue indefinitely.

7.2 Continuity Events

If the Licensor:

- Ceases operations.
- Fails to provide updates.
- Fails to provide support.
- Enters bankruptcy.
- Abandons the product.

Then the Partner automatically receives:

- Full access to Escrow Materials.
 - Permanent manufacturing rights.
 - Permanent firmware use rights.
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8. Escrow

8.1 Escrow Materials

Escrow includes:

- Schematics.
- PCB Gerbers.
- BOM.
- Enclosure CAD.
- Manufacturing instructions.
- Test procedures.
- Firmware binaries.
- Software binaries.

8.2 Release Conditions

Escrow is released if the Licensor:

- Ceases business.
- Fails to provide updates for a defined period.
- Fails to support manufacturing.
- Terminates the agreement.

8.3 Partner Obligations After Release

The Partner must:

- Continue exact-design manufacturing.
- Maintain confidentiality.
- Not create derivative works.

9. Support & Updates

The Licensor will:

- Provide firmware updates.
- Provide software updates.
- Provide updated BOM if components become obsolete.
- Provide technical support.

The Partner will:

- Implement updates as provided.
 - Report defects.
 - Follow update instructions.
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10. Fees & Payments

Defines financial terms including:

- License fees.
 - Manufacturing royalties (if applicable).
 - Minimum annual commitments (optional).
 - Payment schedule.
 - Late payment penalties.
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11. Audit Rights

The Licensor may:

- Audit manufacturing facilities.
 - Inspect quality records.
 - Verify territorial sales.
 - Confirm no derivative works exist.
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12. Term & Termination

12.1 Term

- Initial term (e.g., 5 years).
- Automatic renewal.

12.2 Termination for Cause

Either party may terminate for:

- Material breach.
- Non-payment.
- Violation of territory restrictions.
- Unauthorized modifications.

12.3 Effect of Termination

The Partner retains:

- Perpetual manufacturing rights.
- Perpetual firmware use rights.
- Access to escrow (if triggered).

The Partner loses:

- Branding rights.
 - Marketing rights.
 - Access to new updates.
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13. Liability & Indemnification

- The Licensor disclaims liability for the Partner's manufacturing errors.
 - The Partner indemnifies the Licensor for misuse.
 - Liability caps may apply.
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14. Governing Law & Dispute Resolution

- Defines governing law.
 - Arbitration or court.
 - Venue.
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15. Miscellaneous

- Assignment restrictions.
 - Notices.
 - Entire agreement.
 - Amendments.
 - Severability.
 - Force majeure.
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